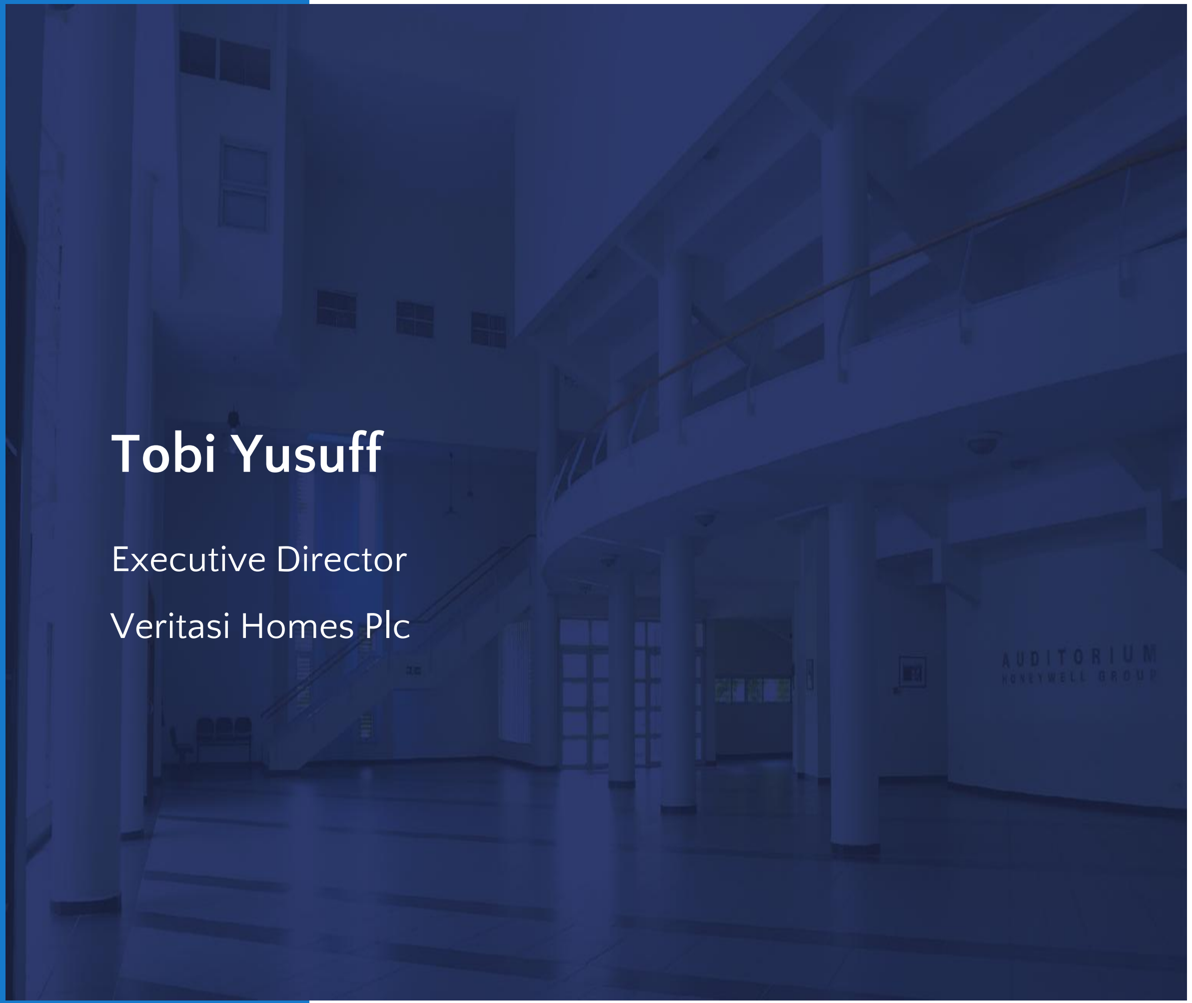
A Senior Manager's Guide to Property as Retirement Income

Presentation by:



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What This Session Covers

01 The Retirement Income Problem

02 Why Property Belongs in Your Portfolio

03 How the Nigerian Property Market Works

04 Matching the Right Structure to Your Profile

05 The Pre-Retirement Window and
06 What Can Go Wrong

Part 1

- The Retirement Income Problem

Part 1: The Retirement Income Problem

- **The Pension Gap**
- Under Nigeria's Contributory Pension Scheme, benefits replace 30–40% of final salary. A senior manager on N1m monthly may receive N300,000–400,000 in pension. That gap is real, measurable, and large.

- **The Inflation Problem**
- Nigeria's average inflation over the last decade: ~16% per annum. At that rate, N1m today buys what N220,000 buys in ten years. A naira pension falls behind every year.

Part 1 (Contd’):

- **The Healthcare Variable**
- Healthcare costs in retirement are significant and unpredictable. A single serious illness without adequate private cover can consume years of savings in months. Any income strategy that ignores this is incomplete.

- **The Conclusion**
- Closing the retirement income gap requires a deliberate strategy. Not hope. Not savings alone. Property, structured correctly, is one of the most effective instruments available in Nigeria to build that strategy around.

Part 2: Why Property

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What are your Options?

01
Nigerian Equities

Volatile, requires active management. Not suitable as the primary retirement income engine for someone nearing retirement.

02
Fixed Income

Treasury bills and bonds yield 18–22% nominal but near zero in real terms after inflation. Preserves capital. Does not build retirement income.

03
Dollar Assets

Eurobonds and dollar savings are genuine devaluation hedges. But they are stores of value, not income generators.

04
Property

Dollar-linked rental income. Capital appreciation above inflation. Tangible. Leverageable. Passive income that arrives whether you work or not.

05
The Conclusion

Property is not the best asset for every purpose. It is one of the most effective for stable, long-term, inflation-resistant retirement income in Nigeria.

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Part 3

- How the Nigerian Property Market Actually Works

What the Scene in Lagos Looks like Today

- **Lagos Island Prime (Ikoyi, Banana Island, VI, Eko Atlantic)**
- Dollar-linked rents. 4-7% gross yield. High entry cost. Best for currency protection and capital preservation.
- **Lagos Island Secondary (Lekki Ph1, Osapa, Chevron corridor)**
- 6-8% gross yield. Broader tenant pool. Best risk-adjusted returns in Lagos today.

- **Lagos Mainland (Yaba, Surulere, Gbagada, Magodo)**
- Volume market. High demand. Lower entry cost. Naira-denominated, so full inflation exposure.
- **Emerging Corridors (Epe, Ibeju-Lekki)**
- 10-15 year infrastructure play. Not a near-term retirement income instrument.

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Documentation

- **Title Hierarchy**
- Certificate of Occupancy (C of O): Highest form of title. Issued by state government. 99-year statutory right. What banks accept as collateral.
- Governor's Consent: Required on every transfer. Verify the full chain, not just the current status.
- Gazette: Legitimate title for government-allocated land. Survey Plans and Deeds of Assignment are supporting documents, not substitutes for title.

- **Five Due Diligence Checks**
- 1. Verify title independently through your own lawyer at the Lagos State Land Registry.
- 2. Visit completed projects by the same developer. Speak to existing buyers.
- 3. Understand the full payment structure and contractual remedies for developer default.
- 4. Confirm LASBCA development approvals and building permits.
- 5. Model the net yield yourself: rental income minus fees, vacancy, and maintenance divided by total cost.

Real Estate Income Strategies

- **01 Buy-to-Let, Long Lease**
- Predictable recurring income. Low management burden with a property manager. Dollar-lease markets in Ikoyi and VI deliver stable foreign currency income throughout retirement. Best fit for most people nearing retirement.

- **02 Buy-to-Let, Short Let**
- Higher gross yields (15–25% naira). Requires active management or a professional short-let operator. Not passive. Best suited to investors who already have a management partner in place.

- **03 Real Estate Investment Trusts (REITs)**
- Listed vehicles on NGX. Lower entry threshold. Higher liquidity than direct ownership. Best as a complement to direct ownership, not a replacement.

- **04 Cooperative Society Pooling**
- Employer-based cooperatives pool capital for collective property acquisition. Provides scale and shared due diligence. Risk is governance quality. Understand the committee before committing capital.

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Part 5: The Pre-Retirement Window

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Getting the Timing Right

- **Income Certainty Enables Leverage**
- Your employment profile is as clean and credible as it will ever be. Mortgage access requires provable income. After retirement, borrowing against employment income becomes impossible. Use this window to acquire while leverage is available.

- **Time for Appreciation**
- Property acquired today in the right Lagos sub-market has your remaining working years to appreciate. Prime Lagos markets have historically delivered 8–15% per annum capital appreciation in naira terms, and significantly more in dollar terms during devaluation cycles.

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- **The Off-Plan Opportunity**
- Early off-plan pricing reflects a deliberate discount to expected completion value. A senior professional nearing retirement is well-positioned to acquire off-plan today, complete payments over the construction period, and receive a completed income-generating asset in the years surrounding retirement.

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Sequenced Approach

- Phase 1: Research, due diligence, first acquisition.
- Phase 2: Consider diversifying with a second property.
- Phase 3: Handover and rental marketing.
- Phase 4: Stabilise income.

- By retirement, the portfolio generates income. Retirement depends on it.

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What Can Go Wrong

1. Developer Default and Delayed Delivery

- Most common off-plan loss. Protection: verified track record, escrow funds, contractual delivery milestones with written remedies.

2. Defective or Disputed Title

- Your own lawyer. Independent Land Registry search. No legitimate developer resists independent legal review.

3. Illiquidity at the Wrong Moment

- Property cannot be liquidated quickly at full value. Maintain 12–24 months of living expenses in liquid instruments. Property is your income engine, not your emergency reserve.

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4. Rental Voids and Tenant Default

- Model yield at 70–80% occupancy. Build a vacancy and maintenance reserve. Make sure to use professional property management.

5. Currency and Regulatory Risk

- CBN policy on dollar domestic contracts has shifted before. Structure contracts carefully. Maintain flexibility in how income is received and held.

The Cost of Inaction

The Hidden costs

The pension depletes

- Programmed Withdrawal pays until the RSA is empty.
- A retiree with a **₦100 million RSA** could receive approximately **₦416,667 per month for 20 years**. However, at an inflation rate of **15.69%**, the purchasing power of that monthly pension could decline to about **₦201,000 per month** within five years if the pension remains fixed.
- A retiree with a **₦300 million RSA** could receive approximately **₦1.25 million per month for 20 years**. At an inflation rate of **15.69%**, the real purchasing power of that income could fall to about **₦604,000 per month** after five years if there are no inflation-linked increases.

Inflation eats the rest

- This represents a decline of more than 50% in real spending power, underscoring the need for retirement investments that can generate income and keep pace with inflation.

The Potential Value

- What you see: ₦ 300million for an apartment in Lekki phase 1???
- What you don't see (The cost of inaction):

Cost of Inaction	Per Year
Rental income not earned (4%)	₦12,000,000
Capital appreciation not captured (6%)	₦18,000,000
Real purchasing power lost on idle naira(15.69%)	₦40,689,775
Total cost of waiting one year	**₦70,689,775**

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Your Retirement Property Mandate

- **Before You Sign Anything: Ask Three Questions**
- **Question 1: What is the net yield, and does it cover my income requirement?**
- Calculate it yourself. Realistic rental income from verified comparables. Subtract fees, vacancy, maintenance. Divide by total cost including legal fees. If the math does not work before emotion enters, it will not work after.
- **Question 2: Have I verified the title independently?**
- Not the developer's solicitor. Your solicitor. Independent Land Registry search. If the answer is not a clear yes, no payment should be made.
- **Question 3: What is my exit, and when?**
- Sale in later years? Transfer to children? Refinancing? Know your exit before you enter. It shapes what you buy, how you hold it, and how you structure ownership from day one.

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Property Investment as Retirement Income Strategy | Veritasi Homes & Properties Plc

Thank you